In England and other European countries, the rich landlords often invested capital in their land to increase its productivity with a view to sharing in the increased income. But in India the absentee landlords, both old and new, performed no useful function. They were mere rent-receivers who had often no roots in the land and who took no personal interest in it beyond collecting rent. They found it possible and therefore preferred to increase their income by further squeezing their tenants rather than by making productive investments in their lands.

The government could have helped in improving and modernising agriculture. But the government refused to recognise any such responsibility. A characteristic of the financial system of British India was that, while the main burden of taxation fell on the shoulders of the peasant, the government spent only a very small part of it on him. An example of this neglect of the peasant and agriculture was the stepmotherly treatment meted out to public works and agricultural improvement. While the Government of India had spent by 1905 over 360 crore of rupees on the railways which was demanded by British business interests, it spent in the same period less than 50 crores of rupees on irrigation which would have benefited millions of Indian cultivators. Even so, irrigation was the only field in which the government took some steps forward.

At a time when agriculture all over the world was being modernised and revolutionised, Indian agriculture was technologically stagnating; hardly any modern machinery was used. What was worse was that even ordinary implements were centuries old. For example, in 1951, there were only 930,000 iron ploughs in use while wooden ploughs numbered 31.8 million. The use of inorganic fertilisers was virtually unknown, whereas a large part of animal manure, i.e. cow-dung, night-soil and cattle bones, was wasted. In 1922—23, only 1.9 per cent of all cropped land was under improved seeds. By 1938—39, this percentage had gone up to only 11 per cent. Furthermore, agricultural education was completely neglected. In 1939 there were only six agricultural colleges with 1306 students. There was not a single agricultural college in Bengal, Bihar, Orissa and Sind. Nor could peasants make improvements